

Some Famous Numbers

Here, and not in any particular order of importance, are the various numbers worth noticing:

PERCENT OF SALES

When I'm interested in a company because of a particular product—such as L'eggs, Pampers, Bufferin, or Lexan plastic—the first thing I want to know is what that product means to the company in question. What percent of sales does it represent? L'eggs sent Hanes stock soaring because Hanes was a relatively small company. Pampers was more profitable than L'eggs, but it didn't mean as much to the huge Procter and Gamble.

Let's say you've gotten excited about Lexan plastic, and you find out that General Electric makes Lexan. Next, you discover from your broker (or from the annual report if you can follow it) that the plastics division is part of the materials division, and that entire division contributes only 6.8 percent to GE's total revenues. So what if Lexan is the next Pampers—it's not going to mean much to the shareholders of GE. You look at this and ask yourself who else makes Lexan, or you forget about Lexan.

THE PRICE/EARNINGS RATIO

We've gone on about this already, but here's a useful refinement: The p/e ratio of any company that's fairly priced will equal its growth rate. I'm talking about growth rate of earnings here. How do you find that out? Ask your broker what's the growth rate, as compared to the p/e ratio.

If the p/e of Coca-Cola is 15, you'd expect the company to be growing at about 15 percent a year, etc. But if the p/e ratio is less than the growth rate, you may have found yourself a bargain. A company, say, with a growth rate of 12 percent a year (also known as a "12-percent grower") and a p/e ratio of 6 is a very attractive prospect. On the other hand, a company with a growth rate of 6 percent a year and a p/e ratio of 12 is an unattractive prospect and headed for a comedown.

In general, a p/e ratio that's half the growth rate is very positive, and one